

MODULE - IV

INTERNATIONAL INSTITUTIONS

Module - IV

(7 Hours)

International Institutions : UNCTAD – Introduction, Principles and Achievements, IMF – Role and Objectives, WTO – Role and Advantages, TRIMS, TRIPS Features, Economic Integration – Introduction, Levels of Economic Integration, Regional Economic Integration in Europe, USA, ASEAN, SAARC, SAPTA.

INTERNATIONAL INSTITUTIONS

International institutions are organizations and mechanisms that facilitate cooperation and governance among countries on a global scale. These institutions, such as the United Nations (UN), the World Trade Organization (WTO), and the International Monetary Fund (IMF), work to address issues that transcend national borders, including peace and security, trade and economic development, and humanitarian aid. By providing a platform for dialogue, negotiation, and the establishment of international norms and standards, they help to manage global challenges and promote stability and prosperity. The primary purpose of international institutions is to foster collaboration and resolve conflicts through collective action and adherence to agreed-upon rules and principles. They serve as forums where member states can discuss and coordinate policies, share resources, and support each other in times of crisis. By promoting cooperation and mutual understanding, international institutions play a crucial role in maintaining global order and advancing common interests.

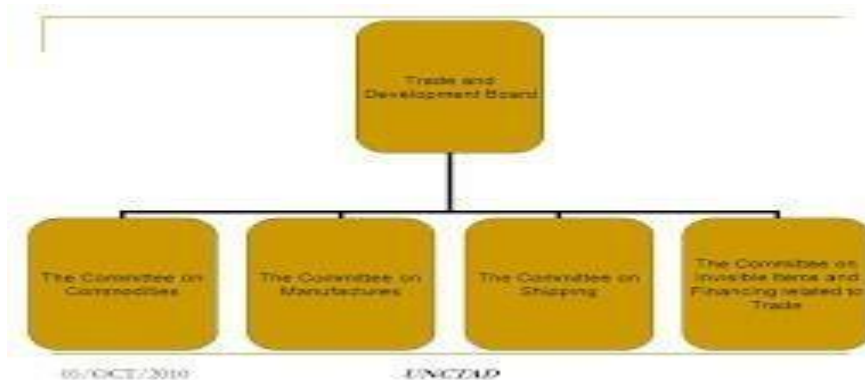
A. UNITED NATIONS CONFERENCE ON TRADE AND DEVELOPMENT - UNCTAD

The United Nations Conference on Trade and Development (UNCTAD) is a body of the UN that aims to develop opportunities, investments and trade in developing countries. The United Nations General Assembly is the parent organization of the United Nations Conference on Trade and Development (UNCTAD). Moreover, UNCTAD is a permanent body of the United Nations. United Nations Conference for Trade and Development (UNCTAD) deals with trade issues, investments and other matters concerning development.

Aspect	Details
Full Name	United Nations Conference on Trade and Development
Abbreviation	UNCTAD
Established	1964
Headquarters	Geneva, Switzerland
Parent organization	United Nations (UN)
Membership	195 Countries
Secretary-General	Rebeca Grynspan (as of 2021)
Main Functions	Research, policy analysis, technical assistance, consensus-building
Key Areas of Work	Trade, investment, finance, technology, sustainable development
Key Achievement	Promoting development-friendly integration, trade facilitation, investment promotion, support for LDCs, South-South cooperation, technology and innovation, trade and environment, capacity building, digital economy
Flagship Reports	Trade and Development Report, World Investment Report, Technology and Innovation Report, Economic Development in Africa Report
Major Conferences	UNCTAD quadrennial conferences, World Investment Forum, e Commerce Week
Website	unctad.org

UNITED NATIONS CONFERENCE TRADE AND DEVELOPMENT GOALS ARE:

- The development opportunities, investments and trade of developing countries are to be maximized.
- The efforts of developing countries to integrate into the world economy on an equitable basis would be assisted by UNCTAD.



UNCTAD OBJECTIVES/PRINCIPLES

Framing policies in various domains such as trade, technology, finance, aid, and transport is the most important priority of UNCTAD. Geneva is the permanent secretariat of UNCTAD and the conference ordinarily meets once in four years. UNCTAD collects data and conducts research and analyses policies.

UNCTAD, WITH ITS WORK IN THE NATIONAL AND GLOBAL LEVELS, AIMS TO HELP COUNTRIES TO:

- Understand options to address macro-level development challenges.
- Acquire beneficial integration into the international trading system.
- Reduce the dependency on commodities by diversifying the economies.
- Decrease their exposure to debt and financial volatility.
- Increase development-friendliness by attracting more investments.
- Increase technologies related to the digital domain.
- Give more thrust to innovation and entrepreneurship.
- Aid local firms to move up value chains.
- Facilitate the flow of goods across borders.
- Prevent consumer abuse.
- Competition should not be stifled; hence any concerned regulations would be crosschecked.
- Effectively utilize natural resources that would help in adapting to climate change.

UNCTAD ACHIEVEMENTS

One of UNCTAD's earliest and most notable accomplishments was the formulation and implementation of the Generalized System of Preferences (GSP), which offered special tariff concessions to exports of manufactured goods by developing countries. Accepting this argument, the developed countries formulated the GSP scheme under which manufacturers' exports and import of some agricultural goods from the developing countries enter duty-free or at reduced rates in the developed countries. Since imports of such items from other developed countries are subject to the normal rates of duties, imports of the same items from developing countries would enjoy a competitive advantage.

- **Promoting Development-Friendly Integration:** Facilitated the integration of developing countries into the global economy in a way that supports their development goals.

- **Research and Analysis:** Provided in-depth research and policy analysis on trade, investment, finance, and technology issues affecting developing countries.
- **Trade Facilitation:** Helped streamline trade processes and reduce barriers, promoting easier and more efficient trade among nations.
- **Investment Promotion:** Assisted developing countries in attracting and benefiting from foreign direct investment (FDI).
- **Support for Least Developed Countries (LDCs):** Offered special programs and support to LDCs to address their unique challenges and promote sustainable development.
- **South-South Cooperation:** Promoted cooperation among developing countries to share knowledge, technology, and resources for mutual development.
- **Technology and Innovation:** Encouraged the adoption of new technologies and innovative practices to enhance economic growth and development in developing countries.
- **Trade and Environment:** Addressed the intersection of trade and environmental sustainability, promoting green trade practices and policies.
- **Capacity Building:** Provided technical assistance and capacity-building programs to help developing countries strengthen their trade and economic policies.
- **Digital Economy:** Supported developing countries in leveraging digital technologies for economic growth and development.

FUNCTIONS OF UNCTAD

- It functions as a forum for intergovernmental deliberations.
- It undertakes research, policy analysis and data collection for the debates of government representatives and experts.
- It provides technical assistance tailored to the specific requirements of developing countries, with special attention to the needs of the least developed countries and of economies in transition. UNCTAD co-operates with other organisations and donor countries in the delivery of technical assistance
- In performing its functions, the secretariat works together with member governments and interacts with organisations of the United Nations system and regional commissions. It also coordinates its activities with non-governmental organisations, the private sector, including trade and industry associations, research institutes and universities worldwide.

B. INTERNATIONAL MONETARY FUND (IMF)

The formation of the IMF was initiated in 1944 at the Bretton Woods Conference. IMF came into operation on 27th December 1945 and is today an international organization that consists of 190 member countries. Headquartered in Washington, D.C., IMF focuses on fostering global monetary cooperation, securing financial stability, facilitating and promoting international trade, employment, and economic growth around the world. The IMF is a specialized agency of the United Nations.

Aspect	Details
Name	International Monetary Fund (IMF)
Established	27-Dec-1945
Headquarters	Washington, D.C., United States
Membership	190 countries
Primary Purpose	To ensure the stability of the international monetary system
Key Functions	Surveillance, Financial Assistance, Technical Assistance
Managing Director	Kristalina Georgieva (as of 2024)

Main Bodies	Board of Governors, Executive Board, Managing Director, International Monetary and Financial Committee (IMFC)
Main Areas of Work	Economic surveillance, Lending to countries with balance of payments issues, Capacity development and technical assistance
Special Initiatives	Poverty Reduction and Growth Trust (PRGT), Debt Relief Initiatives, Special Drawing Rights (SDRs)
Publications	World Economic Outlook, Global Financial Stability Report, Fiscal Monitor
Website	www.imf.org

1.

FORMATION OF IMF

The breakdown of international monetary cooperation during the Great Depression led to the development of the IMF, which aimed at improving economic growth and reducing poverty around the world. The International Monetary Fund (IMF) was initially formed at the Bretton Woods Conference in 1944. 45 government representatives were present at the Conference to discuss a framework for postwar international economic cooperation.

The IMF became operational on 27th December 1945 with 29 member countries that agreed to bound to this treaty. It began its financial operations on 1st March 1947. Currently, the IMF consists of 189 member countries.

The IMF is regarded as a key organisation in the international economic system which focuses on rebuilding the international capital along with maximizing the national economic sovereignty and human welfare.

2. ORGANIZATIONAL STRUCTURE OF INTERNATIONAL MONETARY FUND (IMF)

The United Nations is the parent organization that handles the proper functioning and administration of the IMF. The IMF is headed by a Managing Director who is elected by the Executive Board for a 5-year term of office. The International Monetary Fund (IMF) consists of the Board of Governors, Ministerial Committees, and the Executive Board.

3.

OBJECTIVES OF THE IMF

IMF was developed as an initiative to promote international monetary cooperation, enable international trade, achieve financial stability, stimulate high employment, diminish poverty in the world, and sustain economic growth. Initially, there were 29 countries with a goal of redoing the global payment system. Today, the organization has 189 members. The main objectives of the International Monetary Fund (IMF) are mentioned below:

- To improve and promote global monetary cooperation of the world.
- To secure financial stability by eliminating or minimizing the exchange rate stability.
- To facilitate a balanced international trade.
- To promote high employment through economic assistance and sustainable economic growth.
- To reduce poverty around the world.
- Avoid the competitive devaluation and exchange control.
- Establish and maintain currency convertibility with stable exchange rates.
- Develop multilateral trade and payments
- To promote international monetary co-operation through a permanent institution which provides machinery for consultation and collaboration on international monetary problems.

- To facilitate the expansion of balanced growth of international trade, and to contribute thereby, to the promotion and maintenance of high levels of employment and real income and to the development of the productive resources of all members as the primary objectives of economic policy.
- To provide exchange stability, to maintain orderly exchange arrangements among members, and to avoid competitive exchange depreciation.
- To assist in the establishment of a multilateral system of payments in respect of current transactions between members and in the elimination of foreign exchange transactions which hamper the growth of world trade.
- To lend confidence to members by making the fund's resources available to them under adequate safeguards, thus providing them with opportunity to correct maladjustments in their balance of payments without resorting to measures destructive of national or international prosperity.
- In accordance with the above, to shorten the duration and lessen the degree of disequilibrium in the international balance of payments of members.

4.

FUNCTIONS OF THE IMF

- **Regulatory functions:** IMF functions as a regulatory body and as per the rules of the Articles of Agreement, it also focuses on administering a code of conduct for exchange rate policies and restrictions on payments for current account transactions.
- **Financial functions:** IMF provides financial support and resources to the member countries to meet short term and medium term Balance of Payments (BOP) disequilibrium.
- **Consultative functions:** IMF is a centre for international cooperation for the member countries. It also acts as a source of counsel and technical assistance.
- The fund is regarded as 'the guardian of good conduct in the area of balance of payments.
- IMF aims at reducing tariffs and other trade restrictions by the member countries.
- IMF provides technical advice to its members regarding monetary and fiscal policies.
- IMF provides short-term financial assistance to its members to get rid of the balance of payments problems/crisis
- IMF provides machinery for the orderly adjustment of exchange rates.
- It functions as a reservoir of currencies of member countries and enables the members to borrow the other currencies.
- It functions as a lending institution of foreign currencies.
- It provides a machinery for altering the par values of the currency of a member country, in order to improve long term balance of payments position of member countries.
- It also provides a machinery for international consultancy.
- It conducts research studies and publishes the reports.
- It conducts short-term training courses on fiscal, monetary and balance of payments for employees of member countries through its Central Banking Services Department, the Fiscal Affairs Department, Bureau of Statistics and the IMF Institute.

5.

ROLE OF THE IMF

- **Surveillance:** Monitors the global economy and the economies of member countries. Provides economic analysis and policy advice to promote economic stability and growth. Conducts annual reviews of member countries' economic policies and conditions (Article IV consultations).
- **Financial Assistance:** Provides financial support to member countries facing balance of

payments problems. Offers short-term and medium-term loans to help stabilize economies and restore growth. Conditions financial assistance on the implementation of policy reforms to address underlying economic problems.

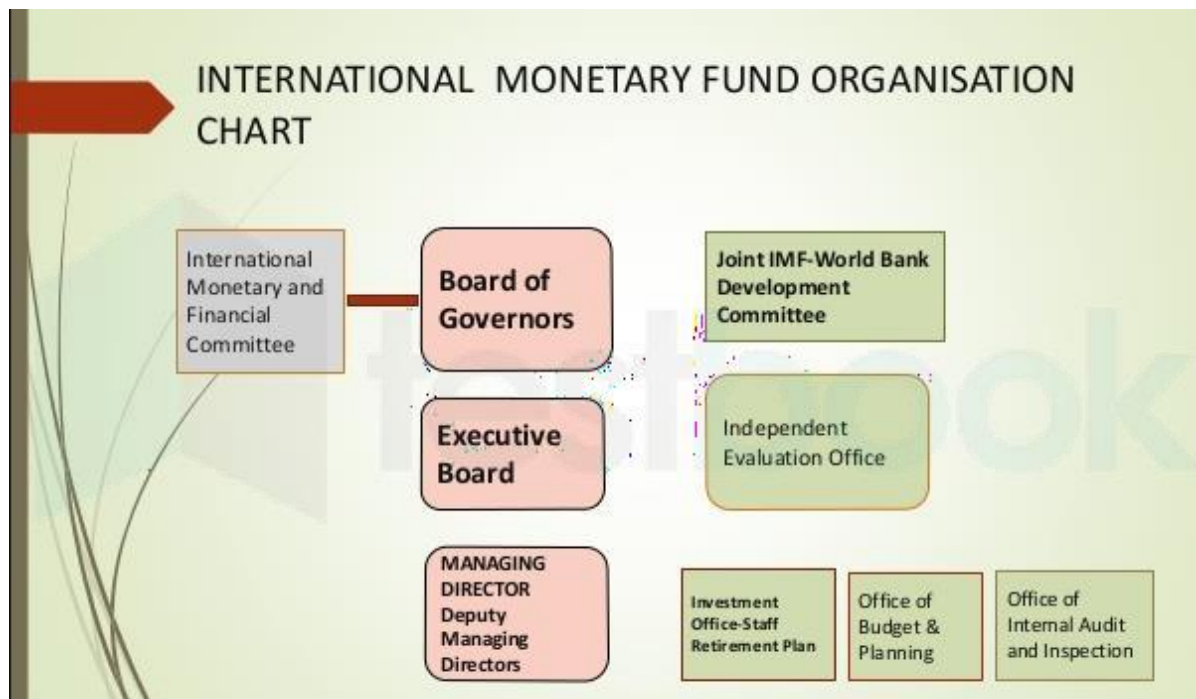
- **Technical Assistance and Training:** Offers technical assistance and training to help member countries strengthen their capacity to design and implement effective policies. Covers areas such as fiscal policy, monetary and exchange rate policies, banking and financial system supervision, and statistical data collection and analysis.
- **Crisis Management:** Plays a key role in managing and resolving financial crises. Works with other international organizations, central banks, and governments to coordinate responses to global economic challenges.
- **Policy Development and Research:** Conducts research and develops policies on a wide range of economic issues. Provides a forum for discussion and collaboration on international monetary and financial issues.
- **Special Drawing Rights (SDRs):** Issues Special Drawing Rights (SDRs), an international reserve asset, to supplement member countries' official reserves. Allocates SDRs to member countries in proportion to their IMF quotas.
- **Promoting Global Economic Stability:** Aims to promote global monetary cooperation, secure financial stability, facilitate international trade, promote high employment and sustainable economic growth, and reduce poverty around the world.

6.

INDIA & IMF

India is a founder member of the IMF. India's Union Finance Minister is the Ex Officio Governor on the IMF's Board of Governors. Each member country also has an alternate governor. The alternate governor for India is the Governor of the RBI. There is also an Executive Director for India who represents the country at the IMF.

- India's quota in the IMF is SDR 13,114.4 million that gives India a shareholding of 2.76%. Read about the Special Drawing Rights – Created in 1969 by International Monetary Fund (IMF) at the linked article.
- This makes India the eight largest quota holding country at the organization.
- In 2000, India completed the repayment of all the loans it had taken from the IMF.
- Now, India is a contributor to the IMF.



Board of Governors: The Board of Governors is the decision-making organ of the fund. The Board of Governors is the highest body It exercises powers and takes decisions.

The Executive Board: The Executive Board, at present has 21 members Five major members of the fund are appointed by the countries having the largest quotas, viz the USA, UK, Germany, France and Japan. The sixth Executive Director is appointed by the Kingdom of Saudi Arabia. The remaining 15 directors are elected by the remaining member countries.

Managing Director: The Executive Directors elect the Managing Director, who is a politician or an important international official. The Managing Director is a non-voting chairman of the board and the head of the fund staff.

The Interim Committee: The Interim Committee, at present has 22 members. It was created in 1974. The objectives of this committee are:

- To advise the Board of Governors on supervising the management.
- To advise the Board of Governors on adaptation of the international monetary system with a view to avoid disturbance.

The Development Committee: This committee was also established in 1974 and has 22 members. Its objective is for

- Advise and report to Board of Governors on all aspects of the transfer of real resources to developing countries.

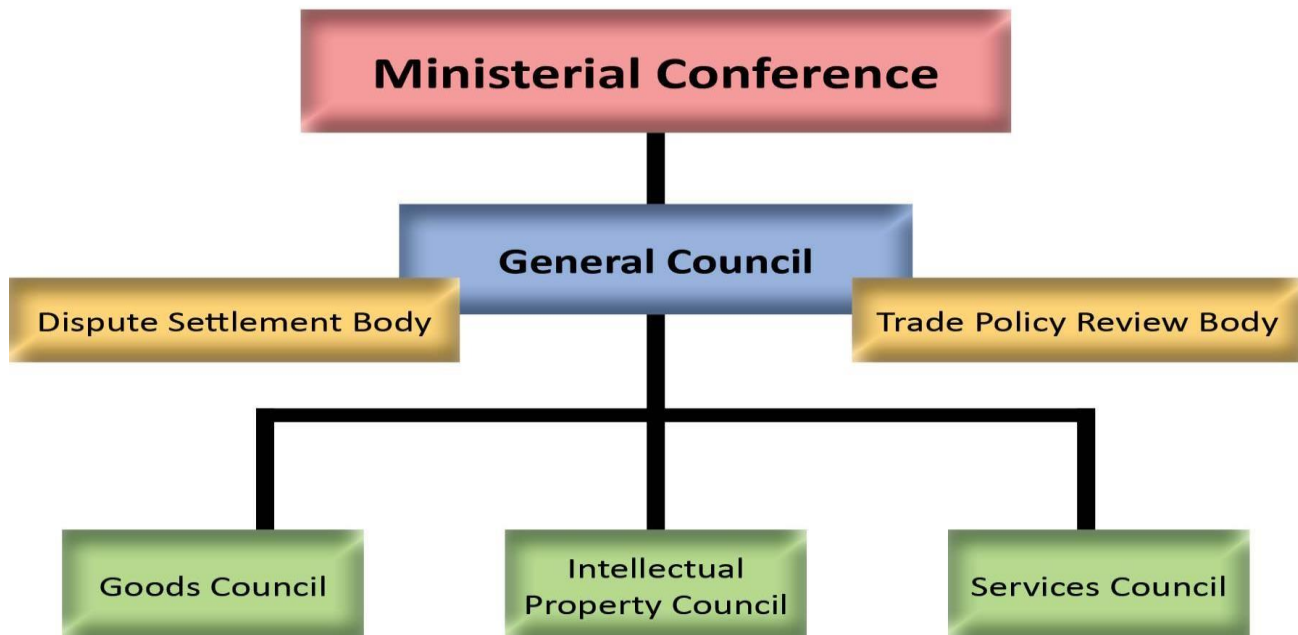
C. WTO- WORLD TRADE ORGANIZATION

WTO – World Trade Organisation, was established in 1995 as the heir organisation to the GATT (General Agreement on Trade and Tariff). GATT was founded in 1948 with 23 nations as the global (international) trade organisation to serve all multilateral trade agreements by giving fair chances to all nations in the international exchange for trading prospects. WTO is required to build a rule-based trading government in which countries cannot place unreasonable constraints on trade.

In addition, its mission is to increase stock and trade of services, to assure maximum utilisation of world resources and to preserve the environment. The WTO deals include trade in commodities as well as services to promote international trade (bilateral and multilateral) through the elimination of the tax as well as non-tariff obstacles and implementing greater marketplace access to all member nations. As an influential member of WTO, India is at the lead of building fair global laws, statutes and shields and supporting the concerns of the developing system. India has fulfilled its promises

towards the liberalisation of trade, made in the WTO, by eliminating quantitative limitations on imports and decreasing tariff charges.

Structures of WTO



Particulars	Details
Name	World Trade Organization (WTO)
Founded	Jan 1 st 1995
Headquarters	Geneva, Switzerland
Membership	164 member countries (as of 2023)
Primary Function	Regulating international trade
Main Organs	Ministerial Conference
	General Council
	Dispute Settlement Body
	Trade Policy Review Body
Key Agreements	General Agreement on Tariffs and Trade (GATT)
	General Agreement on Trade in Services (GATS)
	Trade-Related Aspects of Intellectual Property Rights (TRIPS)

1.

OBJECTIVES OF WTO

- To raise the standard of living in member countries.
- Development of a multilateral trading system.
- To reduce Tariff and Non-Tariff barrier.
- To eliminate discriminatory treatment in international trade relationships.
- To make coordination between trade policies, environmental policies and sustainable development

2.

FEATURES OF WTO

- It is a much wider concept than GATT.
- Each member has a single voting right.

- Its member enjoys the international privilege.
- It administers a unified package of an agreement to which all members are committed.
- It is a forum of discussion between its member countries.

3.

FUNCTIONS OF WTO

Facilitate international trade	It facilitates international trade through the removal of tariff and non-tariff barriers. It provides greater market access to all member countries.
Formulation of rules	It establishes a rule-based trading regime, in which nations cannot place arbitrary restrictions on trade.
Protecting the interest of developing countries	It frames fair global rules, regulations. It safeguards and advocates the interests of the developing world.
Optimum utilization of world resources	It is also responsible to increase production and trade of services. It ensures optimum utilization of world resources.

- WTO administers the 28 agreements contained in the final act and a number of plurilateral agreements and government procurement through various councils and committees.
- WTO oversees the implementation of the significant tariff cut (averaging 40 per cent), and also reduction of no tariff measures agreed to in the trade negotiations.
- WTO examines regularly the trade regimes of individual member countries. Thus, it acts as a watchdog Of international trade.
- WTO provides for Disputes Settlement Court in order to adjudicate the trade disputes which could not be solved through bilateral talks between member countries. The disputes are examined by the panel of independent experts in view of WTO rules and provide rulings. This procedure is laid down in order to provide equal treatment for all trading partners and to encourage member countries to live up to their obligation.
- WTO acts as a management consultant for world trade. The economists of the WTO observe the pulse of the global economy and provide studies on the main trade issues.
- Technical co-operation and training division is established in the WTOs secretariat in order to help the developing countries in the implementation of Uruguay round results.
- Member countries can use the WTO as a forum for continuous negotiation of exchange of trade barriers in the entire world.
- WTO co-operates with other international institutions like IMF, IBRD (World Bank) and ILO involved in global economic policymaking.
- WTO oversees the national trade policies of member governments.

4.

BENEFITS OF WTO

- It helps promote international peace and facilitates international business.
- All disputes between member nations are settled with mutual consultations.
- Rules make international trade and relations very smooth and predictable.
- Free trade improves the living standards of the people by increasing the income level.
- Free trade provides ample scope to obtain varieties of good-quality products.
- Economic growth has been sped up because of free trade.
- The system encourages good governance.

- WTO helps to foster the growth of developing countries.

D. TRADE RELATED INVESTMENT MEASURES (TRIMS)

The agreement on Trade-Related Investment Measures or “TRIMs” acknowledges that investment measures can control and twist trade. These states World Trade Organization members might not apply any measure that differentiates or leads to quantitative restrictions, both of which disobey any fundamental WTO rules.

A list of restricted TRIMS is a part of this agreement. The TRIMS Committee looks after the operation and execution of this agreement and allows members the chance to consult on any appropriate matters.

Agreement on TRIMs resulting from Uruguay recognizes that certain investment measures may cause restrictive effects on international trade in goods.

1. OBJECTIVES OF TRADE-RELATED INVESTMENT MEASURES

TRIMs believe that there is a strong connection between trade and investment. The goal of trade-related investments measures is to give fair treatment to all investing members across the world.

As the TRIMs deal says, members have to inform the World Trade Organization (WTO) council to buy and sell various services and goods of their current TRIMs that are incompatible with the agreement.

2. MAIN FEATURES OF TRIMS

- It only applies to investment measures related to goods trade.
- This doesn't apply to service trade.
- It doesn't regulate the entry of foreign industry or investment.
- It is about the discriminatory treatment of imported/exported products.
- Concern measures were applied to both foreign domestic firms.
- A transition period of 2 years in the case of developed countries, 5 years in the case of developing countries and 7 years in the case of LDCs, from the date this agreement came into effect, which is 1st January 1995.
- Abolition of restrictions imposed on foreign capital.
- Offering equal rights to the foreign investor equal to those of the domestic investor.
- No restrictions on any area of investment.
- No limitation or ceiling on the quantum of foreign investment. In other words, participation of foreign equity should be allowed up to 100 per cent.
- Granting of permission without restrictions to import raw materials and other components.
- No force on the foreign investors to use total products or materials.
- Export of the part of the final product will not be mandatory.
- Restriction on repatriation of dividend, interest and royalty will be removed.
- Phased manufacturing programme will be introduced to increase the domestic content of manufacture

Trade in Services: Trade in services like, insurance, travel, tourism, hotel, banking, maritime transportation, mobility of human resources, etc., has been for the first time, brought within the purview

of GATT The General Agreement on Trade in Services (GATS) provides a multilateral framework of principles and services. GATS govern trade in services.

E. TRADE RELATED ASPECTS OF INTELLECTUAL PROPERTY RIGHTS (TRIPS)

TRIPS are an international agreement between the World Trade Organization's member countries on Intellectual Property Rights. This agreement sets up base standards for the accessibility, scope, and utilization of all seven types of intellectual properties. The ***TRIPS full form is Trade-Related Aspects of Intellectual Property Rights***. The TRIPS agreement came into force in 1995 at the WTO.

TRIPS play a crucial role in shaping the global intellectual property landscape, safeguarding the rights of inventors, artists, and innovators, and fostering international trade and economic development.

1. TRIPS AGREEMENT FEATURES

- TRIPS came into force in 1995, as part of the agreement that established the World Trade Organization (WTO).
- TRIPS establishes minimum standards for the availability, scope, and use of seven forms of intellectual property namely, trademarks, copyrights, geographical indications, patents, industrial designs, layout designs for integrated circuits, and undisclosed information or trade secrets.
- It applies basic international trade principles regarding intellectual property to member states.
- It is applicable to all WTO members.
- TRIPS Agreement lays down the permissible exceptions and limitations for balancing the interests of intellectual property with the interests of public health and economic development.
- TRIPS is the most comprehensive international agreement on IP and it has a major role in enabling trade in creativity and knowledge, in resolving trade disputes over intellectual property, and in assuring WTO members the latitude to achieve their domestic policy objectives.
- It frames the IP system in terms of innovation, technology transfer and public welfare.
- The TRIPS Council is responsible for administering and monitoring the operation of the TRIPS Agreement.
- TRIPS were negotiated during the Uruguay Round of the General Agreement on Tariffs and Trade (GATT) in 1986–1994.
- The TRIPS Agreement is also described as a “Berne and Paris-plus” Agreement.

Dunkel proposal regarding trade related intellectual property rights (TRIPs) in respect of business and commerce include

- Protection of patents
- Copyrights
- Design
- Trademarks
- Trade secrets, etc.

Patents Regime Kicks In: Earlier, process patents were granted to food, medicines, drugs and clinical products. The TRIPs agreement provides for granting product patents also in all these areas from 1 January 2005 India, Brazil and China are among the few countries that have advanced their deadline to meet their Trade Related Intellectual Property Rights commitments. Least developed countries like Bangladesh have time till 2010 to effect product patents. Protection will be available for 20 years for patents and 50 years for copyrights.

The proposed patent rights include items like copyright, computer programing, integrated circuit design, trademarks and trade secrets. Copyright, computer programing and data compilations will be protected for at least 50 years. Trademarks would be protected for at least seven years and semiconductor layout design would be protected for nearly 10 years. A council on TRIP's would supervise operation of the accord along with GATT and the General Agreement on Trade in services.

F.

ECONOMIC INTEGRATION

Economic integration is an arrangement among nations that typically includes the reduction or elimination of trade barriers and the coordination of monetary and fiscal policies. Economic integration aims to reduce costs for both consumers and producers and to increase trade between the countries involved in the agreement.

I. LEVELS OF REGIONAL ECONOMIC INTEGRATION

1. Preferential Trading Agreement

These agreements are generally made between developed and developing countries to promote economic development of developing nations.

For Example, the European Union has a preferential trading agreement with the Middle East and Latin America.

2. Free Trade Agreement

It is a permanent arrangement usually between the neighboring countries. It involves complete removal of tariffs on goods. Therefore, each member country has full freedom over trade with external countries.

For Example, NAFTA (North America Free Trade Agreement & EFTA (European Free Trade Association)

3. Customs Union

Just like the members of free trade are, the members of custom union also remove barriers among themselves.

For Example, ASEAN (Association of South-East Asian Nations)

4. Common Market

The common market has no barriers to trade among the member countries and there is also a common external policy for trade with non-member countries.

For Example, European Economic Community.

5. Economic Union

It involves full integration between two or more economies. In addition there is coordination between the member countries on their economic policies such that the nations have coordinated monetary policy, fiscal policy, social welfare programmes etc. and usually a common currency is used in trade. For Example, European Union

6. Political Union

It involves all features of economic union and also complete political integration between member countries. The member countries share a common decision making and judicial body and there is complete unity between member nations.

The best Example is United States of America which includes thirteen separate colonies operating under Article of Confederation.

II.

ADVANTAGES

- Trade creation
- Employment Opportunities

- Consensus and Cooperation
- The economic integration of the countries of the same region or areas increases the size of market, aggregate demand for products and services, quantity of production, employment, and ultimately the economic activity of the region. Further, the people of the region get a variety of products at comparatively lower prices. This factor, in turn, enhances the purchasing power and living standards of the people.
- The resources of the region are pooled. In other words, the factors of production of the countries are combined. The pooling increases efficiency of output or productivity due to large-scale economies. Further, it enables to have economies of division of labour and specialisation.
- Rapid technological innovations and development and consequent large size operations demand heavy investment. Economic integration enables the group of countries to pool required financial resources for the large-scale operations. Internal reallocation of financial resources takes place based on the reallocation of manufacturing facilities and consumption pattern.
- The elimination or reduction of tariffs and barriers reduces the import duties, and thereby reduces the prices of the products/services. Customer gets the advantage of having the product at lesser price.

III. DISADVANTAGES

- **Diversion of trade:** Trade can be diverted from non-members to members, even if it is economically detrimental for the member state.
- **Erosion of national sovereignty:** Members of economic unions typically are required to adhere to rules on trade, monetary policy, and fiscal policies established by an unelected external policymaking body.
- **Employment shifts and reductions:** Economic integration can cause companies to move their production operations to areas within the economic union that have cheaper labor prices. Conversely, employees may move to areas with better wages and employment opportunities.

G.

REGIONAL ECONOMIC INTEGRATION IN EUROPE (EU)

1. EUROPEAN UNION

European Union is an international organisation consisting of European Countries, which was formed in 1993. It came into force after the signing of the Maastricht Treaty by 28 countries. The Maastricht Treaty is also known as the Treaty of the European Union (TEU). Maastricht is a city located in the Netherlands. The Maastricht Treaty was amended thrice. The amendments are listed below.

1. Treaty of Amsterdam (1997)
2. Treaty of Nice (2001)
3. Treaty of Lisbon (2007)

Attribute	Details
Full Name	European Union (EU)
Established	November 1, 1993 (Maastricht Treaty)
Member States	27
Official Languages	24 (including English, French, German, Spanish, Italian, etc.)
Currency	Euro (€) (used by 19 of the 27 member states, known as the Eurozone)

Institutions	European Commission, European Parliament, European Council, Council of the European Union, European Court of Justice, European Central Bank, European Court of Auditors
Major Policies	Single Market, Common Agricultural Policy, Common Fisheries Policy, Cohesion Policy, Common Foreign and Security Policy, Environmental Policy, Regional Policy
Headquarters	Brussels, Belgium (main headquarters), Strasbourg, France (European Parliament), Luxembourg City, Luxembourg (Court of Justice)

2. EUROPEAN UNION – OBJECTIVES

1. To increase political cooperation
2. To enhance economic integration by creating a single currency the EURO.
3. Unified security and foreign policy
4. Common citizenship Rights
5. Enhanced cooperation in the areas of judiciary, immigration and asylum.

3. EUROPEAN UNION – ORIGINS

Following the aftermath of World War II. European leaders realized that only large-scale integration would be an antidote to the extreme nationalism that was the cause of the global war. Winston Churchill went further and advocated the emergence of the United States of Europe. The 1948 Hague Congress was a pivotal moment in European federal history, as it led to the creation of the European Movement International and of the College of Europe, where Europe's future leaders would live and study together. The founding of the following unions which eventually evolved into the European Union:

- European Coal and Steel Community (ECSC) – Treaty of Paris 1951
- European Economic Community (EEC) – Treaty of Rome 1957

4. THE ORIGINAL 6 MEMBERS OF EUROPEAN COMMUNITIES WERE

- France
- Italy
- Netherlands
- Belgium
- West Germany
- Luxembourg

6. EUROPEAN UNION – BREXIT

On January 31, 2020, the United Kingdom (U.K) formally left the European Union. U.K is the first country to leave the E.U.

7. EUROPEAN UNION – DECISION-MAKING BODIES

- European Parliament
- European Council
- European Commission

- Council of the European Union
- Court of Justice of the European Union
- European Central Bank
- European Court of Auditors.

8. ACTIVITIES OF THE EUROPEAN UNION

- Elimination of customs duties, quantitative restrictions with regard to exports and imports of goods among member countries.
- Establishment/formulation of a common customs tariff and common commercial policy with regard to non- member countries.
- Abolition of all obstacles for movement of persons, services and capital among member countries.
- Formulation of common policy in the area of agriculture
- Formulation of a common policy in the area of transport.
- Establishment of a system which would ensure competition among member countries.
- Application of programmes in order to coordinate the economic policies of the member countries.
- Application of the procedures and programmes to control the balance of payments of member countries.
- Approximation of legislation of the member governments to the extent required for the proper functioning of the common market.
- Establishment of European Social Fund with a view to enhance the employment opportunities for workers and to improve their living standards.
- Establishment of European Investment Bank for mobilisation of fresh resources and to contribute to the economic development of the community.
- Development of association with foreign countries to promote jointly the economic and social development of the EU.

H. THE UNITED STATES OF AMERICA (USA)

The United States of America (USA) is a country located in North America, comprising 50 states, a federal district, and several territories. It is known for its diverse culture, significant economic and military power, and influential political system. The capital is Washington, D.C., and the largest city by population is New York City.

Economic integration in the USA involves various regional and international initiatives aimed at reducing trade barriers, harmonizing regulations, and fostering economic cooperation. Domestically, the USA benefits from a highly integrated economy across its states, facilitated by a unified currency, regulatory frameworks, and infrastructure. Internationally, the USA is a key player in economic integration through agreements like the USMCA (United States-Mexico-Canada Agreement), which replaced NAFTA, promoting trade and investment among North American countries. The USA also engages in economic partnerships and trade agreements with other regions to enhance market access and economic growth.

1. USA ECONOMIC INTEGRATION –OBJECTIVES

- Promote free trade and reduce trade barriers.
- Foster economic growth and stability domestically and globally.
- Enhance economic cooperation and policy coordination with other countries.

- Support the development of a global economic system based on market principles.

2. USA INITIATIVES TOWARDS ECONOMIC INTEGRATION

- **North American Free Trade Agreement (NAFTA):** Established in 1994, this agreement between the U.S., Canada, and Mexico aimed to eliminate trade barriers and increase economic cooperation. It was replaced by the United States-Mexico-Canada Agreement (USMCA) in 2020, which updated and revised several NAFTA provisions.
- **Trans-Pacific Partnership (TPP):** Although the U.S. withdrew from the TPP in 2017, it was initially a significant attempt to establish a free trade area with several Pacific Rim countries, aiming to deepen economic ties and set high-standard trade rules.
- **World Trade Organization (WTO):** The U.S. is a founding member of the WTO, which facilitates international trade agreements and dispute resolution among its member countries, promoting global economic integration.
- **Bilateral Trade Agreements :** The U.S. has numerous bilateral trade agreements with countries such as South Korea, Australia, and Colombia, enhancing economic integration through reduced tariffs and improved trade terms.
- **MERCOSUR (Southern Common Market):** While the U.S. is not a member, it has engaged in trade talks and agreements with MERCOSUR countries (Argentina, Brazil, Paraguay, Uruguay, and Venezuela) to improve economic relations and integration in the Western Hemisphere.

I. ASSOCIATION OF SOUTHEAST ASIAN NATIONS (ASEAN)

The Association of Southeast Asian Nations or ASEAN is an organisation formed by the governments of Malaysia, Indonesia, the Philippines, Thailand, and Singapore in 1967 to promote economic growth, peace, security, social progress and cultural development in the Southeast Asian region. The body is headquartered in Jakarta, Indonesia.

Five other nations joined the ASEAN in subsequent years making the current membership to ten countries. Thailand (founding member), The Philippines (founding member), Malaysia (founding member), Singapore (founding member), Indonesia (founding member), Brunei (joined in 1984), Vietnam (joined in 1995), Lao PDR (joined in 1997), Myanmar (joined in 1997), Cambodia (joined in 1999).

Attribute	Details
Founded	8-Aug-1967
Founding Members	Indonesia, Malaysia, Philippines, Singapore, Thailand
Current Members	Brunei, Cambodia, Indonesia, Laos, Malaysia, Myanmar, Philippines, Singapore, Thailand, Vietnam
Headquarters	Jakarta, Indonesia
Official Languages	English
Objectives	Accelerate economic growth, social progress, and cultural development; promote regional peace and stability; collaborate to achieve mutual interests; provide assistance in training and research facilities
Key Bodies	ASEAN Summit, ASEAN Coordinating Council, ASEAN Community Councils, ASEAN Sectoral Ministerial Bodies, ASEAN Secretariat

Major Agreements	ASEAN Free Trade Area (AFTA), Regional Comprehensive Economic Partnership (RCEP), ASEAN Comprehensive Investment Agreement (ACIA)
Partner Countries	China, Japan, South Korea, India, Australia, New Zealand, United States, Canada, Russia, EU

1. ASEAN FUNDAMENTAL PRINCIPLES

- Mutual respect for the independence, sovereignty, equality, territorial integrity, and national identity of all nations;
- The right of every State to lead its national existence free from external interference, subversion or coercion;
- Non-interference in the internal affairs of one another;
- Settlement of differences or disputes by peaceful manner;
- Renunciation of the threat or use of force; and
- Effective cooperation among themselves.

2. ASEAN PURPOSE

- Accelerating economic growth, cultural development, and social progress in the region by joint initiatives in the spirit of partnership and equality to cement the foundation for a peaceful and strong community of SE Asian countries.
- Promoting peace and stability in the region by incorporating respect for justice and the rule of law in the relationships between nations and adherence to the United Nations principles.
- Promoting active collaboration and mutual assistance in subjects of common interest in social, economic, cultural, administrative, scientific, and technical domains.
- Assisting member countries via training and research facilities in the educational, administrative, technical, and professional domains.
- Cooperating for better usage of agriculture and industries, trade expansion (including studying the problem of international commodity trade), improving communication and transportation facilities, and improving living standards among the people.
- Promoting SE Asian studies.
- Exploring more avenues for further cooperation among themselves, and maintaining close and advantageous cooperation with other international groupings of similar objectives.

3. ASEAN FREE TRADE AREA (AFTA)

The ASEAN countries are vigilant of the developments in the international environment like the formation of NAFTA, SAARC and the introduction of Euro. In view of these developments, the ASEAN countries formed the Asean Free Trade Area (AFTA) in September 1994. The AFTA initially was set to function for 10 years in order to develop inter ASEAN trade.

The Objectives of the AFTA are:

- To encourage inflow of foreign investment into this region.
- To establish free trade area in the member countries.
- To reduce tariff of the products produced in ASEAN countries. Forty per cent value addition in the ASEAN countries to the product value is treated as manufactured in ASEAN countries.

J. SOUTH ASIAN ASSOCIATION FOR REGIONAL COOPERATION (SAARC)

SAARC stands for South Asian Association for Regional Cooperation and is an intergovernmental organization for the development of economic and regional integration. The organization has the support of different countries known as member-states.

SAARC Established in	1985 (December 8), Dhaka (Bangladesh)
Number of Member Countries in SAARC	8 Countries – India, Bangladesh, Nepal, Sri Lanka, Maldives, Bhutan, Afghanistan, Pakistan.
Number of Observers in SAARC	9 Observers – Australia, European Union (E.U), Iran, Japan, Mauritius, South Korea, United States of America (USA), China, Myanmar.
SAARC Headquarters	Kathmandu, Nepal
SAARC Specialized Bodies	• South Asian University (SAU) – India • South Asian Regional Standards Organization (SARSO) – Dhaka • SAARC Development Fund (SDF) – Bhutan • SAARC Arbitration Council (SARCO) – Pakistan
Last Member to Join SAARC	Afghanistan (April 2007)

1. AREAS OF COOPERATION AMONG SAARC NATIONS

- Agriculture and Rural Development
- Human Resource Development and Tourism
- Economic, Trade and Finance
- Social Affairs
- Environment, Natural Disasters and Biotechnology
- Education, Security and Culture and Others
- Information and Poverty Alleviation
- Energy, Transport, Science and Technology

2. SAARC – OBJECTIVES

- Promote the welfare of the people of South Asia and improve their quality of life
- Accelerate economic growth, social progress, and cultural development in the region by providing all individuals the opportunity to live in dignity and realize their full potential
- Promote and strengthen collective self-reliance among the countries of South Asia
- Contribute to mutual trust, understanding and appreciation of one another's problems
- Promote active collaboration and mutual assistance in the economic, social, cultural, technical, and scientific fields
- Strengthen cooperation with other developing countries
- Strengthen cooperation among themselves in international forums on matters of common interest; and
- Cooperate with international and regional organizations with similar aims and purposes.

3. ACHIEVEMENTS OF SAARC

- A Free Trade Area is established by the member countries to increase their internal trade and lessen the trade gap of some states considerably. SAARC is comparatively a new organization

in the global arena.

- SAARC Free Trade Agreement – SAFTA was signed to reduce customs duties of all traded goods to zero by the year 2016. The agreement was confined to goods, but excluding all services like information technology.
- South Asia Preferential Trading Agreement – SAPTA for promoting trade amongst the member countries came into effect in 1995.
- SAARC Agreement on Trade in Services – SATIS is following the GATS-plus „positive list“ approach for trade in services liberalization.
- SAARC University – Establish a SAARC university in India, a food bank, and also an energy reserve in Pakistan.

4. AREAS OF COOPERATION AMONG SAARC NATIONS

- Agriculture and Rural Development
- Human Resource Development and Tourism
- Economic, Trade and Finance
- Social Affairs
- Environment, Natural Disasters and Biotechnology
- Education, Security and Culture and Others
- Information and Poverty Alleviation
- Energy, Transport, Science and Technology

5. SAARC – OBJECTIVES

- Promote the welfare of the people of South Asia and improve their quality of life
- Accelerate economic growth, social progress, and cultural development in the region by providing all individuals the opportunity to live in dignity and realize their full potential
- Promote and strengthen collective self-reliance among the countries of South Asia
- Contribute to mutual trust, understanding and appreciation of one another's problems
- Promote active collaboration and mutual assistance in the economic, social, cultural, technical, and scientific fields
- Strengthen cooperation with other developing countries
- Strengthen cooperation among themselves in international forums on matters of common interest; and
- Cooperate with international and regional organizations with similar aims and purposes.
- To improve the quality of life and welfare of the people of the SAARC member countries.
- To develop the region economically, socially and culturally.
- To provide the opportunity to the people of the region to live in dignity and to exploit their potentialities.
- To enhance the self-reliance of the member countries jointly.
- To provide conducive climate for creating and enhancing mutual trust, understanding and application of one another's issues.
- To enhance the mutual assistance among member countries in the areas of economic, social, cultural, scientific and technical fields.
- To enhance the co-operation with other developing economies.
- To have unity among the member countries regarding the issues of common interest in the international forum.
- To extend co-operation to other trade blocs.

6.

ACHIEVEMENTS OF SAARC

- A Free Trade Area is established by the member countries to increase their internal trade and lessen the trade gap of some states considerably. SAARC is comparatively a new organization in the global arena.
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7.

AREAS OF COOPERATION AMONG SAARC NATIONS

- Agriculture and Rural Development
- Human Resource Development and Tourism
- Economic, Trade and Finance
- Social Affairs
- Environment, Natural Disasters and Biotechnology
- Education, Security and Culture and Others
- Information and Poverty Alleviation
- Energy, Transport, Science and Technology

8.

CHALLENGES WITH SAARC

- Relation between India and Pakistan escalated tensions and a conflict severely hampers the prospects of SAARC.
- The frequency of SAARC meetings is low. More engagements between member nations are required instead of biennial meetings SAARC nations should meet annually.
- The energy and resources are diverted due to the Broad area of cooperation.
- The implementation of the SAARC Free Trade Agreement has not been satisfactory.



K.

SAARC PREFERENTIAL TRADING ARRANGEMENT (SAPTA)

The council of ministers have signed the SAARC Preferential Trading Arrangement agreement on 11 April 1993.

1. OBJECTIVES OF SAPTA: THE OBJECTIVES OF SAPTA ARE:

- To gradually liberalise the trade among member countries of SAARC.
- To eliminate trade barriers among SAARC countries and reduce or eliminate tariffs..
- To promote and sustain mutual trade and economic co-operation among member countries.

Administration of SAPTA: SAARC Preferential Trading Arrangement agreement would be administered on the following lines.

- The benefits to the member countries would be accorded on equitable basis of reciprocity and mutuality.
- The agreement would be improved step by step through mutual negotiations.
- The agreement has taken the special needs of the less developed countries into consideration. included for mutual concessions.

Product Areas: All raw materials, semi-finished products and finished products

Tariffs: Concessions would be given in tariffs, para-tariffs, non-tariffs and trade measures. Special treatment for the least developed countries would be provided in the following ways:

- Providing technical assistance, establishment of industrial and agricultural projects in order to boost up their exports.
- Enhancing their exports by eliminating non-tariff and para-tariff barriers, providing duty free access, etc.
- Establishing training facilities in the areas of export trade.
- Providing export credit insurance and market information.
- Entering into long-term contracts.

L. SOUTH ASIAN FREE TRADE AREA (SAFTA)

The South Asian Free Trade Area (SAFTA) is a free trade agreement reached between the members of the South Asian Association of Regional Cooperation (SAARC) on January 6, 2004.

SAFTA required the developing countries in South Asia (India, Pakistan and Sri Lanka) to bring their duties down to 20 per cent in the first phase of the two-year period ending in 2007.

While the least developing countries (LDC) consisting of Nepal, Bhutan, Bangladesh, Afghanistan and the Maldives had an additional three years to reduce tariffs

1. PRINCIPLES REGARDING SAFTA

- Reciprocity and mutuality of advantages in order to benefit equally by considering the level of economic trade, industrial development and trade and tariff systems
- Negotiation of tariff reform which will be implemented in successive stages through periodic reviews.
- Recognition of the special needs of the Least Developed countries and agreement on concrete preferential measures in their favour
- Inclusion of all products, manufactures and commodities in their raw forms

2. OBJECTIVE OF THE SOUTH ASIAN FREE TRADE AREA

The primary objective of the agreement is to promote competition in the region while providing proper benefits to the countries involved. The agreement will benefit the people of South Asia by

bringing transparency and integrity among the nations by reducing tariff and trade barriers. Ultimately it establishes a robust framework for regional cooperation. The instruments to help fulfill these objectives are as follows:

- Trade Liberalisation Programme
- Rules of origin
- Institutional Arrangements
- Consultations and Dispute Settlement Procedures
- Safeguard Measures
- Any other instrument that may be agreed upon.

Aspect	Details
Full Name	South Asian Free Trade Area
Established	6-Jan-2004
Operational Since	1-Jan-2006
Headquarters	Kathmandu, Nepal
Member Countries	Afghanistan, Bangladesh, Bhutan, India, Maldives, Nepal, Pakistan, Sri Lanka
Objective	To promote and enhance mutual trade and economic cooperation among member countries by reducing tariffs and other trade barriers
Agreement Type	Free Trade Agreement (FTA)
Key Provisions	Gradual tariff reductions, elimination of trade barriers, establishment of a framework for regional economic cooperation
Secretariat	SAARC Secretariat (South Asian Association for Regional Cooperation)
Major Milestones	• Signing of SAFTA agreement (2004)
	• Commencement of SAFTA (2006)
	• Full tariff liberalization by 2016 for developing countries
Challenges	• Political tensions between member countries
	• Non-tariff barriers
	• Inadequate infrastructure
	• Trade imbalances
Opportunities	• Potential for significant economic growth
	• Diversification of exports and imports
	• Strengthening of regional ties and cooperation
Trade Impact	• Increased intra-regional trade
	• Enhanced economic integration
	• Reduction in trade costs and barriers
Governing Body	SAFTA Ministerial Council (comprising of trade ministers from member countries)
Dispute Resolution	Dispute Settlement Mechanism as per the SAFTA agreement
Preferential Treatment	Special consideration for Least Developed Countries (LDCs) within the region